Quality Assurance & Delivery Methodology

Engagement Lifecycle, Quality Control Framework, and Continuous Improvement Standards

Firm-Wide Quality Standard -- Applicable to All Service Lines

CONFIDENTIAL

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Meridian & Associates LLP | New York | Chicago | San Francisco | London | Singapore

1. Overview

Meridian & Associates LLP is committed to delivering the highest quality professional services on every engagement. This document describes our comprehensive quality assurance and delivery methodology, which governs all engagements across our Audit & Assurance, Tax Services, Advisory & Consulting, and Managed Services practices. Our quality framework is designed to meet or exceed the requirements of ISQM 1 (International Standard on Quality Management 1), PCAOB Quality Control standards, and the AICPA's Quality Management standards.

This methodology is maintained by the National Director of Quality & Risk Management, reviewed annually by the Quality Oversight Committee (a subcommittee of the firm's Management Committee), and is subject to both internal inspection and external peer review. The most recent AICPA peer review (completed December 2025) resulted in a pass rating with no findings.

2. Engagement Lifecycle

Every Meridian engagement follows a structured six-phase lifecycle that ensures consistent quality, clear communication, and measurable outcomes. While the specific activities within each phase vary by service line, the framework is universal.

2.1 Phase 1: Opportunity Assessment & Proposal

All new engagement opportunities undergo a structured assessment process before a proposal is issued. This phase ensures that Meridian has the competence, capacity, and independence to serve the prospective client.

- **Client Acceptance / Continuance:** Every new client and engagement is subject to our Client Acceptance and Continuance (CAC) process, which evaluates reputational risk, financial stability, management integrity, independence requirements, and potential conflicts of interest. CAC decisions require approval from the engagement partner and the regional managing partner. High-risk clients require additional approval from the National Risk Management partner.
- **Independence Assessment:** For attest engagements, our Independence Office performs automated and manual checks against our global independence tracking system, covering financial relationships, business relationships, employment relationships, and non-attest service provision. The system monitors over 48,000 entity relationships in real time.
- **Proposal Development:** Proposals are developed using our structured proposal methodology, which includes service scope definition, fee estimation (using our engagement economics model), team composition, timeline development, and risk assessment. All proposals above $250,000 require review by the service line leader, and proposals above $1 million require Management Committee approval.

2.2 Phase 2: Planning

- **Engagement Planning Memorandum:** Each engagement begins with a comprehensive planning memorandum that documents the engagement objectives, scope, significant risks, materiality determinations (for audit engagements), team composition, timeline, and communication plan. The planning memorandum is reviewed and approved by the engagement partner before fieldwork begins.
- **Risk Assessment:** We perform a multi-dimensional risk assessment covering financial reporting risks (for audit), project delivery risks (for advisory), regulatory and compliance risks, and operational risks. Risk assessments are documented using our proprietary risk scoring framework, which assigns likelihood and impact ratings to each identified risk and maps mitigation strategies.
- **Resource Allocation:** Team members are assigned based on industry expertise, technical specialization, experience level, and availability. Our resource management system (Meridian Resource Hub) provides real-time visibility into professional availability, utilization, and skill profiles across all 45 offices. Engagement staffing decisions are approved by the engagement partner and the resource management director.
- **Kick-Off Meeting:** Every engagement commences with a structured kick-off meeting attended by the full engagement team and key client stakeholders. The kick-off covers engagement objectives, timeline, roles and responsibilities, communication protocols, document request lists, and escalation procedures.

2.3 Phase 3: Execution

- **Work Program Execution:** Fieldwork is performed in accordance with detailed work programs specific to the engagement type and industry. Work programs are maintained in our engagement management system (Meridian Workbench) and are updated annually to reflect changes in professional standards, regulatory requirements, and firm methodology.
- **Milestone Tracking:** All engagements are tracked against defined milestones using our project management framework. Milestone status is reported weekly to the engagement partner and shared with the client through our client portal. Budget-to-actual hour tracking is performed at the task level, with variance analysis and reforecasting at each milestone checkpoint.
- **Issue Management:** Issues identified during fieldwork are logged in a centralized issue tracker, categorized by severity (critical, high, medium, low), assigned to responsible parties, and tracked to resolution. Critical and high-severity issues require escalation to the engagement partner within 24 hours. Unresolved issues are reported to the engagement quality reviewer.

2.4 Phase 4: Reporting & Deliverables

- **Deliverable Preparation:** All deliverables are prepared using Meridian-approved templates and undergo a structured multi-level review process (described in Section 4 below). Deliverables include audit opinions, tax returns and provisions, advisory reports, management letters, and client presentations.
- **Client Review Process:** Draft deliverables are shared with client management for factual review before finalization. Client comments are documented, evaluated, and addressed through a formal response process. Final deliverables require engagement partner sign-off.
- **Regulatory Filings:** For engagements involving regulatory filings (SEC, state regulatory bodies, tax authorities), we maintain filing calendars, pre-submission checklists, and confirmation procedures to ensure timely and accurate submission.

2.5 Phase 5: Follow-Up & Debrief

- **Post-Engagement Debrief:** Within 30 days of engagement completion, the engagement team conducts a structured debrief covering what worked well, what could be improved, and specific action items for future engagements. Debrief results are documented and entered into our lessons learned database.
- **Client Satisfaction Survey:** Every engagement above $50,000 includes a formal client satisfaction survey administered by our independent Client Experience team. Surveys measure satisfaction across eight dimensions: technical quality, communication, responsiveness, team expertise, value for fees, partner involvement, innovation, and overall satisfaction.

2.6 Phase 6: Continuous Relationship Management

Following engagement completion, the relationship partner maintains ongoing contact through quarterly business reviews, industry update briefings, and invitations to firm-sponsored events and thought leadership programs. Our CRM system tracks all client interactions and triggers automated follow-up reminders based on the client's industry calendar (e.g., budget season, regulatory filing deadlines).

3. Quality Control Framework

Meridian's quality control framework is designed in alignment with ISQM 1 and encompasses governance, ethical requirements, acceptance and continuance, engagement performance, resources, information and communication, and monitoring and remediation.

3.1 Governance & Leadership

Quality is overseen by a dedicated governance structure:

- **Quality Oversight Committee:** Chaired by the Vice Chair of Quality, comprising 7 partners representing all service lines and major industry verticals. Meets monthly to review quality metrics, inspection findings, and remediation progress.
- **National Director of Quality & Risk Management:** Full-time role responsible for quality policy development, inspection program management, and regulatory liaison. Reports directly to the Managing Partner.
- **Service Line Quality Leaders:** Each service line has a dedicated Quality Leader responsible for methodology updates, training programs, and engagement-level quality monitoring.

3.2 Engagement Quality Reviews (EQR)

All public company audit engagements and other high-risk engagements undergo an Engagement Quality Review performed by a qualified reviewer who is independent of the engagement team. The EQR reviewer evaluates significant judgments, key audit matters, independence compliance, and the appropriateness of the audit opinion or other deliverable. EQR completion is required before any audit opinion is issued.

Criteria for mandatory EQR include:

- All SEC registrant audits
- All engagements with fees exceeding $500,000
- All first-year audit engagements
- Engagements involving restatements or material weaknesses
- Engagements identified as high-risk through the CAC process
- All engagements in industries subject to specialized regulatory oversight

3.3 Hot Reviews for High-Risk Engagements

In addition to standard EQR, certain engagements are designated for 'hot review' - a real-time concurrent quality review performed during the engagement rather than at completion. Hot reviews are triggered by specific risk indicators:

- Going concern uncertainties
- Fraud risk indicators or whistleblower allegations
- Complex business combinations or carve-out transactions
- First-time adoption of major accounting standards
- Engagements subject to active regulatory inquiry or investigation
- Significant management estimates with high estimation uncertainty

4. Deliverable Review Process

Every Meridian deliverable undergoes a structured multi-level review process before issuance to the client. The review process is designed to ensure technical accuracy, compliance with professional standards, consistency with firm methodology, and clear communication.

Review Levels

Level	Reviewer	Focus Areas	Turnaround
Level 1 - Preparation	Associate / Sr. Associate	Data accuracy, completeness, calculation	Same day
Level 2 - First Review	Manager / Sr. Manager	Technical accuracy, methodology compliance, analytical quality	1-2 business days
Level 3 - Director Review	Director / Managing Director	Business relevance, client impact, presentation quality	1-2 business days
Level 4 - Partner Review	Engagement Partner	Overall quality, significant judgments, client messaging	2-3 business days
Level 5 - EQR (if required)	EQ Reviewer (independent)	Independence, significant judgments, opinion appropriateness	3-5 business days

Review Documentation Requirements

- All review comments are documented in Meridian Workbench with timestamps and reviewer identification
- Preparer must respond to every review comment with either resolution or explanation
- Unresolved review comments are escalated to the next review level
- Partner sign-off on the review completion checklist is required before client delivery
- Review files are retained for a minimum of 7 years (10 years for SEC engagements)

5. Project Management Standards

5.1 PMO Structure

Meridian operates a centralized Project Management Office (PMO) that provides standardized project management methodologies, tools, and support to engagement teams across all service lines. The PMO employs 45 dedicated project management professionals, of whom 32 hold PMP certifications. PMO services include:

- Project planning and scheduling (using Microsoft Project and Smartsheet)
- Resource forecasting and capacity planning
- Budget development and financial tracking
- Risk and issue management
- Status reporting and dashboard development
- Change management support

5.2 Resource Allocation

Resource allocation is managed through Meridian Resource Hub, our proprietary resource management platform. The system maintains profiles for all 12,400+ professionals, including skills, certifications, industry experience, language capabilities, security clearances, and availability. Key features include:

- Real-time utilization tracking with target utilization bands by level (Partner: 50-60%, Manager: 70-80%, Senior Associate: 80-85%, Associate: 85-90%)
- Skills-based matching algorithm that recommends optimal team compositions
- Conflict of interest screening integrated with the independence tracking system
- Cross-office staffing for specialized skill requirements
- Pipeline forecasting for proactive resource planning

5.3 Milestone Tracking & Reporting

All engagements above $100,000 are tracked against defined milestone plans. Milestone reporting includes:

- Weekly status reports to engagement partner (automated from Meridian Workbench)
- Bi-weekly client status updates (customizable frequency per client preference)
- Monthly portfolio reviews at the service line level
- Quarterly executive dashboards for the Management Committee
- Real-time budget variance alerts (triggered at 10% and 20% thresholds)

6. Client Communication Protocols

Effective client communication is foundational to engagement success. Meridian maintains structured communication protocols that ensure clients are informed, engaged, and aligned throughout the engagement lifecycle.

Communication Type	Frequency	Participants	Format
Kick-Off Meeting	Once (start)	Full team + client	In-person / virtual
Weekly Status Update	Weekly	Manager + client lead	Email / portal
Steering Committee	Bi-weekly / Monthly	Partner + C-suite	In-person / virtual
Issue Escalation	As needed (<24 hrs)	Partner + client exec	Phone / in-person
Milestone Review	Per plan	Sr. team + client team	In-person presentation
Draft Deliverable Review	Per plan	Full team + client	Document + meeting
Final Presentation	Once (end)	Partner + C-suite	In-person presentation
Post-Engagement Debrief	Once (30 days post)	Partner + client exec	In-person / virtual

7. Technology-Enabled Quality Assurance

Meridian leverages technology extensively to enhance the consistency, efficiency, and effectiveness of our quality assurance processes.

7.1 Automated Workpaper Review

Our Meridian Workbench platform includes automated quality checks that are performed in real time as engagement teams prepare workpapers. These checks include:

- Cross-reference validation - ensures all referenced documents exist and are current
- Completeness checks - identifies missing required sections in standard work programs
- Tickmark verification - confirms all items requiring explanation have been documented
- Date consistency - flags date references that are inconsistent with the reporting period
- Materiality threshold compliance - alerts when items exceed defined materiality thresholds
- Template compliance - verifies adherence to current firm templates and formatting standards

7.2 AI-Assisted Anomaly Detection

MeridianAI's anomaly detection engine is integrated into our audit methodology and provides the following quality assurance capabilities:

- Journal entry anomaly scoring - machine learning model trained on 8 years of historical data, identifying entries with characteristics associated with error or fraud
- Trend analysis and outlier detection - automated comparison of client financial data against industry benchmarks and historical patterns
- Text analytics for contract review - NLP models that identify unusual or non-standard contract terms requiring additional audit attention
- Predictive risk scoring - real-time risk assessment that updates throughout the engagement based on accumulated audit evidence
- Automated sampling optimization - risk-based sample selection that maximizes coverage of high-risk items while maintaining statistical validity

7.3 Continuous Monitoring

For managed services and ongoing advisory engagements, we deploy continuous monitoring solutions that provide real-time quality oversight:

- Automated exception reporting for key controls
- Real-time reconciliation monitoring with configurable tolerance thresholds
- Regulatory change tracking and impact assessment
- Dashboard-based oversight with drill-down capability

8. Continuous Improvement Program

8.1 Internal Inspection Program

Meridian conducts an annual internal inspection program that reviews a risk-weighted sample of completed engagements across all service lines. The inspection program is designed and overseen by the National Director of Quality & Risk Management and is staffed by experienced professionals who are independent of the engagements under review. In the most recent inspection cycle (2025), 142 engagements were reviewed, representing approximately 12% of total engagement hours.

8.2 Lessons Learned Database

Post-engagement debrief findings, inspection findings, and client feedback are compiled in our centralized Lessons Learned Database, which is searchable by industry, service line, engagement type, and topic. The database contains over 4,800 entries accumulated since 2015 and is actively referenced during engagement planning to proactively address known risk areas. The Quality Oversight Committee reviews aggregate lessons learned trends quarterly and incorporates systemic findings into methodology updates and training programs.

8.3 Root Cause Analysis

Any quality finding rated 'significant' or above triggers a formal root cause analysis (RCA) performed by the Quality team. RCA follows a structured methodology:

- Problem statement definition and impact assessment
- Data collection (workpaper review, team interviews, process mapping)
- Causal factor identification using fishbone (Ishikawa) analysis
- Root cause determination and validation
- Corrective action development with ownership and timelines
- Effectiveness verification at 90-day and 180-day intervals

In 2025, 23 formal RCAs were conducted. The most common root causes identified were insufficient specialist consultation (31%), inadequate engagement planning (26%), and staff workload/capacity issues (22%). Each finding resulted in specific remediation actions tracked to completion by the Quality Oversight Committee.

9. Quality Metrics & KPIs

Meridian tracks a comprehensive set of quality metrics and key performance indicators at the firm, service line, office, and individual engagement levels. These metrics are reported monthly to firm leadership and are incorporated into partner compensation decisions.

KPI	Target	FY 2025 Actual	Status
Client Satisfaction Score	>= 4.5 / 5.0	4.6 / 5.0	Achieved
Engagement Realization Rate	>= 92%	94.1%	Achieved
Inspection Pass Rate	>= 95%	96.5%	Achieved

EQR Completion (on time)	100%	99.7%	Near-target
Staff Utilization (Sr. Assoc)	80-85%	82.3%	Achieved
Training Hours per Professional	>= 40 hrs/yr	47 hrs/yr	Achieved
Restatement Rate (audit clients)	< 1%	0.3%	Achieved
Client Retention Rate	>= 92%	94%	Achieved
Employee Satisfaction (quality)	>= 4.0 / 5.0	4.2 / 5.0	Achieved
Lessons Learned Entries	>= 400/yr	512	Achieved